Type MS · Calculating price elasticity of supply (PES)

Answer 1 of 10 · Question 1 part f · 2 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Enterprise A is not correct because it is not a resource used in production B is not correct because it is not used to produce goods/services D is not correct because it is consumed by diners	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** $3 200 000 A is not correct because this is $160 x $120 B is not correct because this is 20 000 + $160 C is not correct because 20 000 x $120	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to increased income Goods for which demand will increase **(1)** as incomes increase **(1)** **OR** Goods for which demand will decrease **(1)** as incomes decrease **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula • Private benefits + external benefits	**(1)**

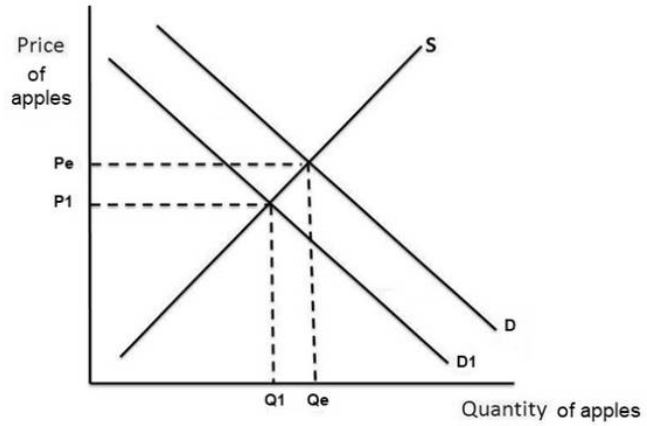
Type MS · Calculating price elasticity of supply (PES)

Answer 1 of 10 · Question 1 part f · 2 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A specialised market for a particular product Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.7%/5.4% **(1)** Award 1 mark for correct PES = 0.87 **(1)** Award 2 marks if PES is correctly calculated as 0.87, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 1 of 10 · Question 1 part f · 2 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Employees may find the work boring/monotonous **(1)** because they spend the whole day sealing boxes for the orders **(1)** and they are repeatedly doing the same task **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Consumers are more likely to return plastic bottles because of the scheme, so they are able to get their €0.25 back • This is likely to reduce litter and the negative impact on the environment, therefore reducing negative externalities • The scheme is also cheaper for the government, meaning more funding could be available to benefit the environment • The 98.5% return rate shows the regulation is very successful and likely to reduce negative externalities significantly • More awareness of the problems caused by plastic bottles could be gained through adoption of the scheme, leading to better prevention of other plastic waste being discarded • This can have further long-term benefits for the environment

Type MS · Calculating price elasticity of supply (PES)

Answer 1 of 10 · Question 1 part f · 2 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Calculating price elasticity of supply (PES)

Answer 1 of 10 · Question 1 part f · 2 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Calculating price elasticity of supply (PES)

Answer 2 of 10 · Question 1 part f · 2 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** A Large firms dominate	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** C $ 60 000	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to a good for which the rise in demand is proportionally more than that of income and 1 mark for reference to income elasticity of demand being greater than one • A good for which income elasticity of demand is greater than 1 **(1)** the proportionate change in demand is greater than the proportionate change in income **(1)** OR • Luxury goods are products that are not essential **(1)** but are highly desired and associated with wealthy people **(1)**	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 2 of 10 · Question 1 part f · 2 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for one correct factor • Factors of production • Availability of stocks • Spare capacity • Time	**(1)**

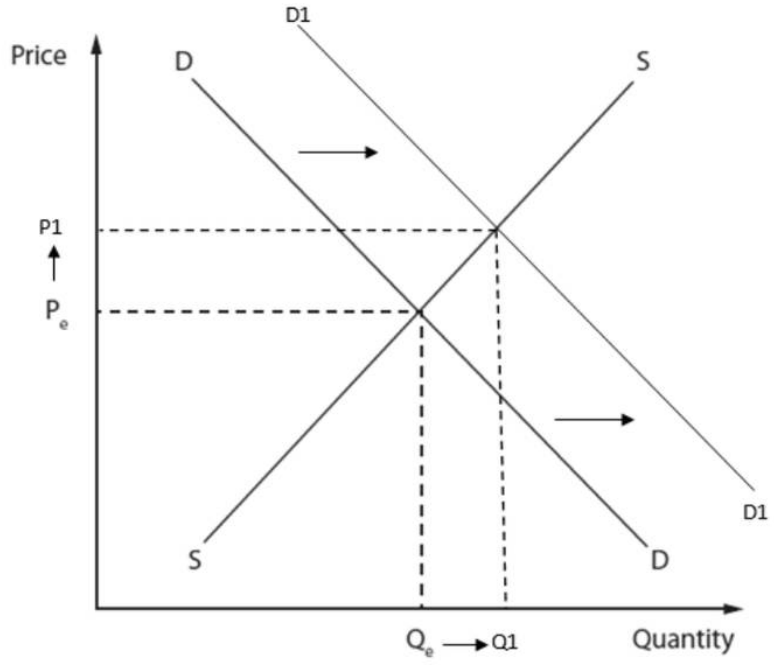
Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for reference to a good bought as an alternative to another good Goods which are used as an alternative to another good	**(1)**

Question number	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 3.9 ÷ 5.2 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 0.75 **(1)** Award 2 marks if PES is correctly calculated, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 2 of 10 · Question 1 part f · 2 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for rightward shift of demand, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 2 of 10 · Question 1 part f · 2 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in the context of Robert's wood carving business • One disadvantage is that the price may be higher **(1)** this is due to a lack of choice **(1)** because there are no other local wood carvers that customers can use **(1)** • One disadvantage is that it may take a long time to receive the order **(1)** because Robert is a small business and he is working alone **(1)**, and it takes time for him to make each individual door sign **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Robert may have decided it could be too time consuming and difficult to obtain additional finance in order to expand • Robert is operating in a niche market, meaning he can specialise in the requirements of his customers rather than mass production • As the door signs and gifts are made to order, and to the requirements of the customer, Robert prefers to stay small and focus on their individual needs • Robert is an entrepreneur and may have different aims to the more typical profit maximisation of some firms • He may feel that working from home, providing a high quality specialised customer service is more important • The size of the market for speciality carvings may not warrant expansion

Type MS · Calculating price elasticity of supply (PES)

Answer 2 of 10 · Question 1 part f · 2 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Calculating price elasticity of supply (PES)

Answer 2 of 10 · Question 1 part f · 2 marks

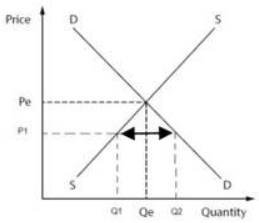
2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question number	Answer	Mark

Type MS · Calculating price elasticity of supply (PES)

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** **A**  	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** A factor of production	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation Total revenue minus total costs	**(1)**

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 36 ÷ 30 **(1)** Award 1 mark for correct price elasticity of supply (PES) = 1.2 **(1)** Award 2 marks if PES is correctly calculated as 1.2, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to money used by a business Funding for a firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for the type of business competition and 1 mark for development of the response The Irish Artisan Charcoal Company (IACC) is a monopoly **(1)** as there are no other firms producing charcoal in Ireland **(1)** Accept any other appropriate response	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in the context • One reason is that public goods are non-excludable **(1)** meaning that everyone walking/driving along the street would benefit from the lighting **(1)** whether or not they pay anything towards it through taxes **(1)** • One reason is that there is non-rivalry for public goods **(1)** meaning that one person walking/driving along the street is not preventing another person from benefitting from street lighting **(1)** whether or not they pay anything towards it through taxes **(1)** Accept any other appropriate response	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Small firms can offer a personal service so they can meet the needs of the customer more specifically than large firms • Wonderful Wax produces handmade candles and so the personal service offered maybe more likely to attract customers, bringing in more sales • The service offered by Elissa's small firm could cater for a niche part of the market and so some customers may pay higher prices for the candles • By operating a small firm, Elissa is able to maintain control of her business and help the environment by producing candles made with soy wax and essential oils • Increasing production of the candles may mean they can no longer be handmade and Wonderful Wax may lose its identity **AO4** • However, small firms may struggle to meet demand and so may lose customers • Wonderful Wax could potentially sell many more environmentally-friendly candles through use of the production facilities on offer, thus further meeting Elissa's original objective to help the environment • Unit costs of a small firm are likely to be higher as it cannot exploit economies of scale and therefore the profits might be lower • A large firm is more likely to be able to compete should other firms set up selling environmentally-friendly candles

Type MS · Calculating price elasticity of supply (PES)

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Calculating price elasticity of supply (PES)

Answer 3 of 10 · Question 2 part d · 2 marks

2020 JAN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Calculating price elasticity of supply (PES)

Answer 4 of 10 · Question 2 part d · 2 marks

2021 NOV · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** X A is not correct because there will be no unemployed resources C is not correct because it is not achievable D is not correct because all resources will be fully employed	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** employee rights A is not correct because consumers are not members of the union B is not correct because this is not the responsibility of a trade union D is not correct because trade unions are independent of the government	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a correct reason • Size of market • Nature of market (niche) • Lack of finance • Aims of the entrepreneur Accept any other appropriate response	**(1)**

Type MS · Calculating price elasticity of supply (PES)

Answer 4 of 10 · Question 2 part d · 2 marks

2021 NOV · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.7/4.9 **(1)** Award 1 mark for correct PES = 0.55 **(1)** Award 2 marks if PES is correctly calculated as 0.55, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to a firm setting the market price A dominant firm sets the price in the market Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason A computer can be used to help make goods and services **(1)** therefore a computer is capital **(1)** Accept any other appropriate response	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 4 of 10 · Question 2 part d · 2 marks

2021 NOV · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant factor Award 1 mark for developing the response Award 1 mark for the response being in context • Access to finance. **(1)** Abi would need to obtain more money to be able to move to larger premises. **(1)** She may not have enough/be able to borrow enough finance to fund the expansion **(1)** Accept any other appropriate response	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 4 of 10 · Question 2 part d · 2 marks

2021 NOV · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because it is created by high volumes of traffic and has an external cost to people in Jakarta • One method of government intervention to reduce negative externalities is the use of regulation • These regulations will limit the amount of pollution produced and reduce the externalities • The Indonesian Government introduced the traffic-free regulation in an attempt to reduce pollution levels in Jakarta because less traffic should lead to less fumes being emitted into the environment • The regulation covers over 8 km of Jakarta's streets on a Sunday, meaning a section of the city is not subjected to the negative externality of traffic fumes during this time • In 2016 air-quality had improved by 65% since the regulations were introduced, meaning the regulations have been quite effective in reducing the negative externality **AO4** • However, there is no guarantee that the reduced pollution level is a direct result of the traffic-free regulation • Other measures may be in place such as the taxation on fuel • The effectiveness of the regulations depends on the level of enforcement from the government and cooperation from the public • The number of vehicles registered in the area is increasing, meaning that pollution is also likely to increase again • There are likely to be other factors causing pollution in the city, such as from factories

Type MS · Calculating price elasticity of supply (PES)

Answer 4 of 10 · Question 2 part d · 2 marks

2021 NOV · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Calculating price elasticity of supply (PES)

Answer 4 of 10 · Question 2 part d · 2 marks

2021 NOV · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number	Answer	Mark

Type MS · Calculating price elasticity of supply (PES)

Answer 5 of 10 · Question 1 part f · 2 marks

2023 JAN · Paper 01 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **A** Land B is not correct because labour is a human resource C is not correct because capital is a man-made resource D is not correct because enterprise is the element of risk	**(1)**

Question number	A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the profit for the firm? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **A** $5 300 B is not correct because this is 300 x $20 C is not correct because this is ($700 x $20) - 300 D is not correct because this is $700 x $20	**(1)**

Question number	What is meant by the term supply? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award 1 mark for reference to amount producers are willing and able to sell and 1 mark for reference to price The quantity of goods or services producers are willing and able to sell **(1)** at a given price/at a given time **(1)** Accept any other appropriate response	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 5 of 10 · Question 1 part f · 2 marks

2023 JAN · Paper 01 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question number	State one type of an external economy of scale. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct type • Skilled labour/infrastructure/access to suppliers/similar businesses in area Accept any other appropriate response	**(1)**

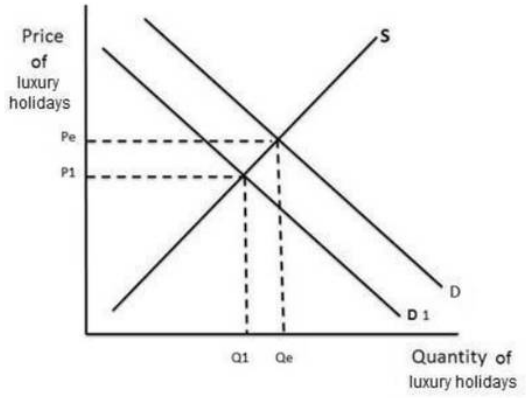
Question number	Define the term unique product. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A good/service for which there is no substitute Accept any other appropriate response	**(1)**

Question number	Calculate the price elasticity of supply (PES) for Connor's hair salon. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.6%/2% **(1)** Award 1 mark for correct PED = 1.3 **(1)** Award 2 marks if PES is correctly calculated as 1.3, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 5 of 10 · Question 1 part f · 2 marks

2023 JAN · Paper 01 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question number	Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Question number	Explain one possible disadvantage of privatisation for workers in the telecoms industry in Angola. **Answer**	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Workers may be made redundant as a result of privatisation **(1)** because private firms are likely to want the telecoms industry to reduce costs **(1)** in order to increase efficiency **(1)** Accept any other appropriate response	(3)

Type MS · Calculating price elasticity of supply (PES)

Answer 5 of 10 · Question 1 part f · 2 marks

2023 JAN · Paper 01 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the impact on the economy after a movement from A to B on the production possibility curve (PPC). **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A PPC shows the combination of goods that can be produced with all available resources • The maximum productive potential of the economy can be seen at point A on the PPC, where if 350 million units of capital goods are produced, 160 million units of consumer goods can be produced • If the number of capital goods produced increases to 450 million units it is not possible to continue to produce 160 million units of consumer goods • The number of consumer goods produced must fall by 30 million units, to 130 million units. This is shown at point B. (There is an opportunity cost) • As the number of capital goods produced increases, there will be an increase in the productive capacity of the economy • Because the economy can now produce more, the PPC will shift outwards allowing an increase in the number of capital goods and consumer goods to be produced in the future • An outward shift of the PPC indicates positive economic growth of the economy

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Calculating price elasticity of supply (PES)

Answer 5 of 10 · Question 1 part f · 2 marks

2023 JAN · Paper 01 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question number	Which one of the following options best describes the demand for the product? **Answer**	**Mark**

Type MS · Calculating price elasticity of supply (PES)

Answer 6 of 10 · Question 2 part d · 2 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Excess supply A is not correct because this would lead to a shortage of goods in the market C is not correct because lower prices may be needed to sell unsold goods D is not correct because this would not result from unsold goods in the market	**(1)**

Question number	Which **one** of the following statements is correct? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Quantity supplied will fall when price falls A is not correct because this is only true when supply is fixed B is not correct because supply is affected by changes in price D is not correct because the supply curve does not shift due to a price change	**(1)**

Question number	State the name for price elasticity of demand (PED) with a numerical value of -1. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for the correct type of price elasticity of demand (PED) • Unitary	**(1)**

Type MS · Calculating price elasticity of supply (PES)

Answer 6 of 10 · Question 2 part d · 2 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part d in this mark scheme extract

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working. **Answer**	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation -2.7%/-1.9% **(1)** Award 1 mark for correct PES 1.42 **(1)** Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term substitute. **Answer**	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition • An alternative bought/produced in place of something else Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why a firm might stay small. **Answer**	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason • It may already be making enough money **(1)** to satisfy the needs of the owner **(1)** • The size of the market may be small **(1)** which means expansion is difficult **(1)** Accept any other appropriate response	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 6 of 10 · Question 2 part d · 2 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part d in this mark scheme extract

Question number	Explain **one** advantage of positive reviews for the owners of food stalls in Taba. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the advantage being in context • Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)** • Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)** Accept any other appropriate response	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 6 of 10 · Question 2 part d · 2 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part d in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A monopoly is a market structure with one dominant seller in the market • PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly • Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale • This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale • Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices • PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors • This may have helped PKP to meet the transport needs of the state; one of its aims • PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains **AO4** • However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service • This means PKP can be a price maker for its train services, which is not in the interest of its consumers • There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier • PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition • It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel

Type MS · Calculating price elasticity of supply (PES)

Answer 6 of 10 · Question 2 part d · 2 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Calculating price elasticity of supply (PES)

Answer 6 of 10 · Question 2 part d · 2 marks

2023 JUN · Paper 01 · extract 6 of 6 · find part d in this mark scheme extract

Question number		Mark
	Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27. The data above shows that the product is **Answer**	

Type MS · Calculating price elasticity of supply (PES)

Answer 7 of 10 · Question 1 part f · 2 marks

2023 NOV · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** working conditions A is not correct because trade unions do not focus on the objectives of firms B is not correct because the government does not receive revenue due to trade union actions C is not correct because the environment is not a focus of trade union activity	**(1)**

Question number	Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true? **Answer**	Mark
1(b)	**AO2 1 mark** The only correct answer is: **C** An increase in demand is shown by a shift to the right A is not correct because when the price falls, the quantity demanded rises B is not correct because the demand curve slopes downwards from left to right D is not correct because a decrease in demand is shown by a shift to the left	**(1)**

Question number	What is meant by the term economies of scale? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Falling average costs **(1)** due to expansion of the firm **(1)** Accept any other appropriate response	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 7 of 10 · Question 1 part f · 2 marks

2023 NOV · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question number	State **one** main feature of an oligopoly. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct feature • Few firms • Large firms dominate • Different products • Barriers to entry • Collusion • Price competition • Non-price competition Accept any other appropriate response	**(1)**

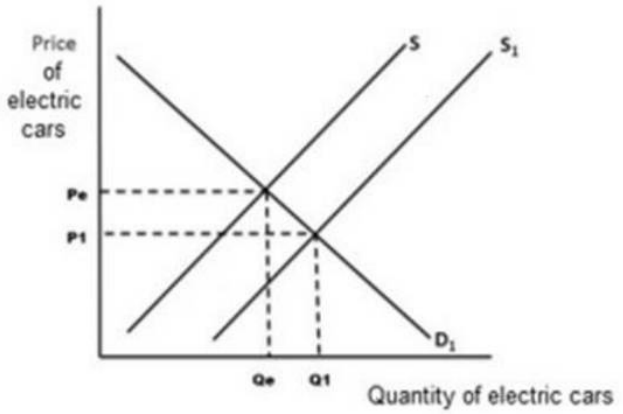
Question number	Define the term excess supply **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition • Where supply is greater than demand Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.3%/3.7% **(1)** Award 1 mark for correct price elasticity of supply = 1.16 **(1)** Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown Do not award marks for a formula	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 7 of 10 · Question 1 part f · 2 marks

2023 NOV · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** possible advantage of privatisation for consumers in Brazil. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the response Award 1 mark for the response being in context • Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)** • Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)** Accept any other appropriate response	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 7 of 10 · Question 1 part f · 2 marks

2023 NOV · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Market failure exists where resources are not allocated efficiently • Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition • There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds • This means higher prices can be charged because customers cannot get refreshments anywhere else • As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit • Therefore, the high prices and reduced choice leads to an inefficient allocation of resources

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Calculating price elasticity of supply (PES)

Answer 7 of 10 · Question 1 part f · 2 marks

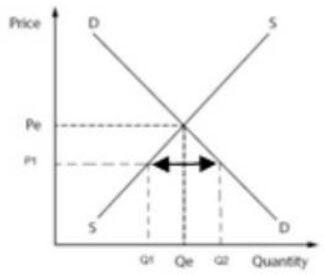
2023 NOV · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question number	A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm? **Answer**	Mark

Type MS · Calculating price elasticity of supply (PES)

Answer 8 of 10 · Question 2 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A**  B is not correct because this shows a movement along the demand curve C is not correct because this shows excess supply D is not correct because this shows a decrease in demand	**(1)**

Question number	Which **one** of the following is a feature of an oligopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** Different products are sold A is not correct because there are a few large firms in the market B is not correct because firms often collude D is not correct because there are some barriers to entry	**(1)**

Type MS · Calculating price elasticity of supply (PES)

Answer 8 of 10 · Question 2 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question number	Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 1.5 x 12% **(1)** **OR** $\frac{X\ \%}{12\% = 1.5}$ **(1)** Award 1 mark for correct change in quantity supplied = 18% **(1)** Award 2 marks if the percentage change in quantity supplied is correctly calculated as 18%, even if no calculations are shown Award 1 mark if the percentage change in quantity supplied is calculated as 18, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social costs? **Answer**	**Mark**
2(d)	**AO1 1 mark** Award up to 2 marks for correct definition Private costs **(1)** plus external costs **(1)** Accept any other appropriate response	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 8 of 10 · Question 2 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

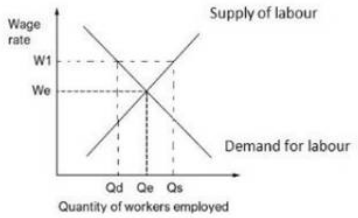
Question number	Describe **one** reason why innovation may be more likely to occur in a monopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Monopoly may be a price-maker **(1)** allowing higher profits which can be used to develop new products/services **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why Sajad may decide to expand his business. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Economies of scale may be gained **(1)** due to spreading marketing costs across the business **(1)** because Sajad could advertise both shops for the same cost as just one **(1)** • The desire to spread risk **(1)** may mean Sajad is more confident of maintaining a successful business **(1)** because even if sales decrease at one shop, he has the other to fall back on **(1)** Accept any other appropriate response	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 8 of 10 · Question 2 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the likely benefits of increasing the minimum wage for employees and firms in the Netherlands. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The minimum wage is the lowest amount that a firm is legally allowed to pay its employees • The minimum wage in the Netherlands increased to €1 934.40 per month at the start of 2023 • This means that the incomes of employees earning the minimum wage increased by 10.15% each month, giving them more disposable income • Therefore, employees may be able to enjoy a better standard of living due to the wage increase • It may mean employees are more motivated and therefore, lead to higher levels of productivity, meaning firms could increase output • This increase in productivity/output may allow firms to offset the higher wage costs **AO4** • However, if firms cannot afford to pay the higher wage costs because the economy is still weak, they may not be able to employ as many people and this may increase unemployment • Possible use of a diagram:  • If unemployment increases there may be even less spending in the economy, meaning further revenue decreases for firms • This may be more likely at a time when spending in the economy may be reduced due to the high inflation rate of 17% seen in 2022, leading to lower revenues for firms • Employees may not enjoy a higher standard of living, even with the wage increase, due to the high rate of inflation of over 17%

Type MS · Calculating price elasticity of supply (PES)

Answer 8 of 10 · Question 2 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Calculating price elasticity of supply (PES)

Answer 8 of 10 · Question 2 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

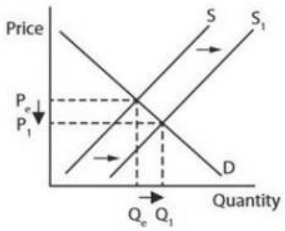
Question number	Which **one** of the following is an example of a job in the primary sector of the economy? **Answer**	**Mark**

Type MS · Calculating price elasticity of supply (PES)

Answer 9 of 10 · Question 1 part f · 2 marks

2024 NOV · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The next best alternative given up A is not correct because this is business competition B is not correct because this gives no alternative choice D is not correct because this is spare capacity	**(1)**

Question number	Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers? **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is **A**  B is not correct because this would be due to a change in price C is not correct because this is a decrease in supply D is not correct because this is a movement along the supply curve	**(1)**

Question number	What is meant by the term external benefit? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition A positive effect **(1)** enjoyed by a third party **(1)** Accept any other appropriate response	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 9 of 10 · Question 1 part f · 2 marks

2024 NOV · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

Question number	State **one** example of an external cost. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Pollution • Congestion • Environmental damage Accept any other appropriate response	**(1)**

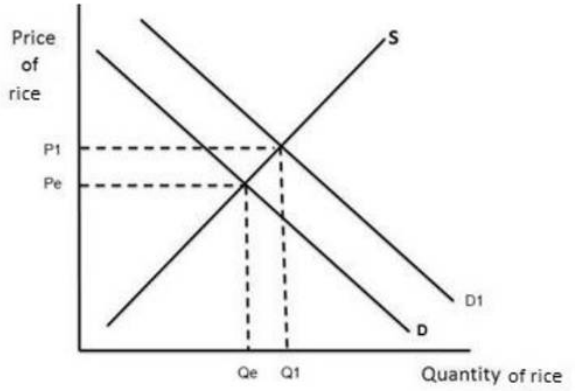
Question number	Define the term takeover. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition When one firm takes control of another firm Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation -3.7%/-9.4% **(1)** Award 1 mark for correct PES = 0.39 **(1)** Award 2 marks if PES is correctly calculated as 0.39 even if no calculations are shown Award 1 mark if PES is calculated as 0.39%, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Calculating price elasticity of supply (PES)

Answer 9 of 10 · Question 1 part f · 2 marks

2024 NOV · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

Question number	Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of the demand curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  	**(3)**

Question number	Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • In the short term, consumers may not be able to break their habit **(1)** but in time they are able to reduce consumption **(1)** meaning that they buy less of the sugary products **(1)** • More firms may enter the market **(1)** meaning more substitutes are available **(1)** so, in time, the difference in PED is 0.5 more elastic **(1)** Accept any other appropriate response	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 9 of 10 · Question 1 part f · 2 marks

2024 NOV · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse how all four factors of production might be used to produce chocolate. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Cocoa pods and sugar are natural resources, which are all examples of land being needed to produce chocolate • The cocoa pods are picked by hand which means labour is needed • Ovens in which the cocoa beans are roasted are examples of capital, because these are man-made • Enterprise combines the other factors of production to make sure the production from cocoa to chocolate takes place effectively to get the finished product to the consumer • Thus, all four factors of production may be used to produce chocolate, as without any one of them the process would not be completed as efficiently

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
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Type MS · Calculating price elasticity of supply (PES)

Answer 9 of 10 · Question 1 part f · 2 marks

2024 NOV · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

Question number	Which **one** of the following options is the most suitable term for the type of market shown in Figure 2? **Answer**	**Mark**

Type MS · Calculating price elasticity of supply (PES)

Answer 10 of 10 · Question 2 part c · 2 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y A is not correct because production is possible using all resources B is not correct because some resources are unemployed D is not correct because all resources will be fully employed	**(1)**

Question number	Which **one** of the following is a factor that may affect the supply of labour? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Age distribution of population B is not correct because the supply of labour is not affected by economies of scale C is not correct because this may affect the demand for labour D is not correct because these will not cause changes in the supply of labour	**(1)**

Type MS · Calculating price elasticity of supply (PES)

Answer 10 of 10 · Question 2 part c · 2 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	Calculate, to two decimal places the **price elasticity of supply (PES)** for the firm. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation 5.4%/7.8% **(1)** Award 1 mark for calculating the correct PES = 0.69 **(1)** Award 2 marks if PES is correctly calculated as 0.69, even if no calculations are shown Award 1 mark if the answer given is 0.69%, with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term innovation? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition The commercial exploitation **(1)** of a new invention **(1)** **OR** Innovation is the process of improving/creating new products/ services/production methods **(1)** to increase efficiency/in the production process **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** reason why a car mechanic is a factor of production. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason	

Type MS · Calculating price elasticity of supply (PES)

Answer 10 of 10 · Question 2 part c · 2 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

	A car mechanic provides the service of repairing vehicles/machinery for use in production **(1)** therefore a car mechanic is labour **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina. **Answer**	**Mark**
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • The newly privatised Radio Nacional will be under pressure to make a profit **(1)** meaning there would be more incentive to meet the needs of listeners of Radio Nacional. **(1)** This would increase competition for other broadcasters **(1)** Accept any other appropriate response	**(3)**

Type MS · Calculating price elasticity of supply (PES)

Answer 10 of 10 · Question 2 part c · 2 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing pay and improving working conditions for their members. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Trade unions can help raise wages and improve working conditions for workers by putting pressure on employers during negotiations • Mine workers have already been helped by the GMWU, in obtaining an increase in the monthly minimum wage to $500 • A higher rate of pay may lead to increased productivity from more motivated workers, making employers more likely to accede to the union's demands • The union has been supporting workers for 80 years and has over 16,000 members, meaning it could have a lot of influence on employers • This longevity and the ongoing pressure of GMWU on employers to improve health and safety, shows the union has been reasonably effective so far **AO4** • However, the need for further talks to protect mine workers' jobs shows GMWU membership may only be partially effective • Workers may not think it worth paying a membership fee to a trade union if it is unable to guarantee secure jobs • When wage rates increase, employers may not be able to afford to employ the same quantity of workers, thus meaning mine workers' jobs are at risk • Improving health and safety is likely to incur higher costs for mining firms • This means that the effectiveness of trade unions may depend on whether firms can pass on these increased costs through increased prices, such as when demand for products from mines is falling • The alternative may be reduced profit margins for the mining firms, meaning they would be less likely to agree to pay increases

Type MS · Calculating price elasticity of supply (PES)

Answer 10 of 10 · Question 2 part c · 2 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
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Type MS · Calculating price elasticity of supply (PES)

Answer 10 of 10 · Question 2 part c · 2 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	A free rider can be defined as an individual who does which **one** of the following? **Answer**	Mark